

## CHENNAI FLOODS

# After the Cyclone

Chennai has suffered severe losses because of Cyclone Michaung, denting its image as an industrial hub

BY VIDYA S.



45 cm of rain lashed Chennai over a span of 36 hours on December 3 and 4, as Cyclone Michaung made its way to Andhra Pradesh

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► **SEVERAL THOUSAND CRORES** and counting. That's the feared business impact of Cyclone Michaung and the destruction it has left in its wake in Chennai, India's fourth largest city and a crucial business centre.

As the cyclone made its way to Andhra Pradesh, 45 cm of rain lashed the coastal city over a span of 36 hours on December 3 and 4, flooding streets, knocking out power, internet and telecom connectivity.

The Tamil Nadu government has sought ₹7,033 crore as interim relief and ₹12,659 crore as long-term flood relief from the Centre. V. Vijayakumaran, Chairman of the Chennai Auto Ancillary Industrial Infrastructure Upgradation Company—in charge of maintenance of both the North and South Phases of Ambattur Industrial Estate—estimates a tentative impact of ₹2,000 crore because of the cyclone, though the exact loss will be known once all units resume operations.

The Ambattur-Padi industrial cluster, home to several auto com-

# ₹2,000 crore

**ESTIMATED BUSINESS  
LOSSES DUE TO CYCLONE  
MICHAUNG IN CHENNAI**

ponent units, including firms of the erstwhile \$8.5-billion TVS Group such as Lucas TVS and Sundram Fasteners, among others, suffered a forced production halt for at least two days due to heavy rains and waterlogging. Vijayakumaran says 50 per cent of the units in the South Phase were able to resume operations by December 7, when power was restored. "Another 25 per cent resumed operations by December 11, and the remaining 25 per cent are yet to recover and resume production as water has entered their units and also damaged machinery," he says. Vijayakumaran expects things to become normal by December-end.

Meanwhile, the Oragadam-Sriperumbudur stretch—where automakers such as Renault-Nissan, Royal Enfield, Hyundai, BMW, Daimler India and Yamaha are located—faced operational disruptions after the government declared a holiday on December 4 due to bad weather. Foxconn and Pegatron, contract manufacturers for Apple, also had to pause production at their plants for at least a day due to the rains.

In north Chennai, where petrochemicals, fertiliser and power plants are located, the Chennai Petroleum Corporation Ltd is dealing with an oil spill after a leak from its premises reached the Ennore Creek. The Tamil Nadu Pollution Control Board has directed the Indian Oil Corporation subsidiary to undertake corrective steps on a war footing.

In nearby Manali, Madras Fertilizers Limited, a public sector undertaking with ₹3,400 crore-plus in revenues, has informed the bourses that it shut its Chennai plant on December 4 and expects to resume op-